

Shiller Index.⁴ Without going too deep into the details, this index basically tracks the sales prices of single-family properties sold at market value, which excludes apartments, condos, co-ops, new construction, foreclosures, and selling a house to a friend for a favorable price.

Why is it important to ignore new home construction? New builds tend to get bigger and bigger in square footage, with better floor plans, gizmos, and gadgets. The average purchase price of new homes increases at a rate of nearly 5 percent per year on average, so they give us a completely different picture on price movements. Because we want to estimate how much a home purchased today will be worth in the future, we should look at the more accurate appreciation rate of existing homes, not new ones.

The Case-Shiller Index is where we got the number we have mentioned in previous chapters—that 3.4 percent appreciation rate we hold near and dear to our hearts. This national average encompasses existing houses nationwide, and though it's unpredictable on a year-to-year basis, it's statistically consistent over the long term.

However, if you want a more dependable way to gauge appreciation over the next decade or less, it's better to zoom in on a more specific location.

Regional Appreciation

Though the country as a whole follows a consistent long-term pattern, different regions around the country experience different levels of appreciation. Their short-term changes and long-term averages can vary considerably from the national average. (You can't expect us all to have the exact same housing market when we can't even agree on how to pronounce "pecan.")

In addition to the Case-Shiller national index, there are many market-specific indexes that can be helpful when buying your first home. For example, the Composite 20 is a home price index for twenty major metropolitan statistical areas, including Los Angeles, New York, Dallas, and Seattle, among others.

Localized tools use methods similar to Case-Shiller's to estimate appreciation in specific areas. For example, Denver home prices have experienced a 4.2 percent annualized appreciation rate from 2000 to 2020. Detroit, on the other hand, has experienced an appreciation rate much closer